

There is no definite way to define asset classes that is universally accepted, but most professional asset allocators agree on three major asset classes:

1. Cash deposits
2. Fixed interest
3. Equities (includes both shares and property)

Equities are defined as investments that provide no security of income or capital, so the class includes both shares and property. But most advisers using asset allocation also consider property (with two distinct categorizations of residential and commercial) as a separate asset class.

For all practical purposes, we consider property (not the one you are living in but the one which you are using as an investment) as a separate asset class and therefore we have four asset classes i.e., cash deposits, fixed interest, property and shares. Index-linked securities, commodities, gold and art are other classes or categories, and there are more obscure ones too. But for most investors, four major asset classes should be enough, because many of the other proposed separate asset classes can be considered as sub-classes or categories of these four.

Different asset classes possess different risks and yield different returns. Obviously, the greater the risk you are ready to take, the greater your chances of handsome returns. Figure 2.10 gives a summary of the risk rewards for various asset classes.

Asset class	Volatility	Returns
Cash deposits		•
Fixed Interest	•	• •
Property	• • •	• • •
Shares	• • • • •	• • • • •

Fig 2.10: *Risk reward for various asset classes*